Acme Corp - Employee HR Policy Handbook

India offices | Applies to all full-time employees | Effective 1 January 2026 | Sample document for demo purposes only

1. Working days and weekends

- The work week is Monday to Friday. Saturday and Sunday are weekly offs.
- Standard office hours are 9:30 AM to 6:30 PM, including a one-hour lunch break.
- Acme follows a hybrid model: employees work from the office 3 days a week (Tuesday, Wednesday, Thursday) and may work from home on Monday and Friday.

2. Public holidays

Employees get **12 paid holidays** in a calendar year: **10 fixed holidays** and **2 optional (restricted) holidays** chosen by the employee from the optional list.

Fixed holidays for 2026: New Year's Day (1 January), Republic Day (26 January), Holi, Good Friday, Labour Day (1 May), Independence Day (15 August), Gandhi Jayanti (2 October), Dussehra, Diwali, and Christmas (25 December). Exact dates for festival holidays are published in the holiday calendar every December.

If a fixed holiday falls on a Saturday or Sunday, no replacement holiday is given. Optional holidays must be applied for at least 7 days in advance on the HR portal.

3. Leave policy

The leave year runs from 1 January to 31 December. Leave is applied for and approved on the HR portal.

Leave type	Days per year	Key rules
Casual leave (CL)	12	Credited 1 per month. Max 3 days in a row. Not carried forward.
Sick leave (SL)	6	Medical certificate needed for more than 2 days in a row. Not carried forward.
Earned leave (EL)	15	Credited 1.25 per month. Carry forward up to 30 days. Encashed at exit.
Maternity leave	26 weeks	Paid, as per the Maternity Benefit Act.
Paternity leave	5 days	To be taken within 3 months of the child's birth.
Bereavement leave	3 days	For the loss of an immediate family member.

New joiners get leave on a pro-rata basis from their joining month. Leave taken beyond the available balance is treated as Loss of Pay (LOP) and deducted from that month's salary.

4. Salary payment date

- Salary is paid on the **last working day of every month** by bank transfer.
- If the last working day is a bank holiday, salary is paid on the previous working day.
- The payroll cut-off is the **25th of each month**. Attendance, LOP and reimbursements after this date are processed in the next month's salary.
- Payslips are available on the HR portal by the 1st of the following month.

5. Salary structure (CTC breakup)

Every employee's Cost to Company (CTC) is split as follows: **Basic salary is 40% of CTC**, **HRA is 50% of Basic**, employer PF is 12% of Basic, gratuity is 4.81% of Basic, and the remaining amount is paid as Special Allowance. Example for a CTC of Rs 12,00,000 per year:

Component	How it is calculated	Yearly (Rs)

Basic salary	40% of CTC	4,80,000
House Rent Allowance (HRA)	50% of Basic	2,40,000
Special allowance	Balance of CTC	3,99,312
Employer PF contribution	12% of Basic	57,600
Gratuity	4.81% of Basic	23,088
Total CTC		12,00,000

In this example, monthly gross salary (Basic + HRA + Special allowance) is Rs 93,276. From this, the employee's own PF (Rs 4,800 a month), professional tax where the state charges it, and income tax (TDS) are deducted to get the take-home pay.

6. Provident Fund (PF)

- Both the employee and Acme contribute **12% of Basic salary** every month to the Employees' Provident Fund.
- Part of the employer's share goes to the Employees' Pension Scheme (EPS), as per EPFO rules.
- Every employee gets a UAN (Universal Account Number). Use it on the EPFO portal to check your balance, transfer PF when changing jobs, or apply for withdrawal.
- Employees may contribute more through Voluntary PF (VPF) by informing HR before the payroll cut-off.

7. Income tax (TDS)

- Acme deducts income tax (TDS) from salary every month, based on the employee's expected yearly income.
- The new tax regime is the default. Employees who want the old regime must choose it on the HR portal in April.
- Investment declarations (for example 80C, HRA rent details, home loan interest) are submitted in April. Proofs must be uploaded by **15 January**. Without proofs, TDS for the remaining months is recalculated.
- Tax slabs and limits follow the government's rules for the financial year (April to March).

8. Form 16

- Form 16 is the salary TDS certificate. Acme issues it every year by **15 June** for the previous financial year (April to March).
- Part A shows the tax deducted and deposited with the government. Part B shows the salary breakup, exemptions and deductions.
- Employees can download Form 16 from the HR portal and use it to file their income tax return.
- Employees who leave mid-year receive Form 16 for that year by the same date.

9. Other benefits

- Group health insurance: Rs 5,00,000 family floater (employee, spouse and up to two children).
- Internet reimbursement: up to Rs 1,000 per month, claimed with bills by the 20th of the month.
- Appraisals happen once a year in April. Salary increments take effect from 1 April.

10. Exit and notice period

- The notice period is 60 days after confirmation (30 days during probation).
- Unused earned leave is encashed in the final settlement. Casual and sick leave are not encashed.
- Full and final settlement is paid within 45 days of the last working day.

Questions? Contact the HR team at hr@acme.example.